

# Manufacture in India. Sell to the world.

Ten priority sectors for foreign direct investment — five already backed by \$25.3 billion in committed government incentives, five more ground-floor or newly mapped — each with a specific target FDI-source country, inside a \$776 billion import market that's still growing faster than India can supply it.

**\$776.0bn**

FY2025-26 import market

**\$25.3bn**

PLI outlay, 14 sectors

**+7%**

GDP growth, FY2025-26

## THE OPPORTUNITY

# A \$776bn import market that outgrew its own supply base

India's imports grew nearly six times faster than its exports over the last five fiscal years — the exact gap that import-substitution manufacturing investment is built to close.

MERCHANDISE IMPORTS, FY25-26

**\$776.0bn**

+26.6% over 5 years — the demand base for local manufacturing

MERCHANDISE EXPORTS, FY25-26

**\$441.7bn**

+4.7% over 5 years — India as a re-export & assembly base

IMPORT / EXPORT GROWTH RATIO

**5.7x**

The capacity gap this deck's sectors are built to close

For an investor, that gap is the pitch: India already buys these goods from somewhere. The question is whether they get made **in** India, with a government actively subsidizing the transition through Production Linked Incentive (PLI) schemes.

## WHY NOW

# A government actively de-risking the first mover

**836**

**PLI applications approved**

Across 14 sectors as of Dec 2025, \$3.69bn already disbursed, 14.39 lakh jobs created.

**+75.6%**

**Services surplus growth, 5yr**

A structurally strong external balance — India can absorb a larger goods deficit while it builds capacity.

**96.37**

**₹/US\$, 17 Jul 2026**

A weaker rupee lowers dollar-denominated setup costs and improves export-side margins for a new plant.

This isn't a generic "India is growing" pitch. It's five specific sectors where a scheme is already funded, a supply gap is already measured, and — where relevant — an export channel to the US, EU, or Gulf already exists.

# Electronics & Semiconductor Manufacturing

HS84–85 · India's single largest and fastest-growing high-tech import chapter — and the one chapter where policy support is already the strongest in the whole ledger.

|                              |                                                                                    |           |
|------------------------------|------------------------------------------------------------------------------------|-----------|
| Import value, FY25-26        |  | \$104.9bn |
| 8-year growth                |  | +101.5%   |
| Export growth (same chapter) |  | +324.1%   |

## POLICY BACKING

India Semiconductor Mission 2.0 (\$9.43bn) plus PLI Electronics/Mobile/Telecom — the strongest-matched chapter on either side of India's trade ledger. Currently 62% import-dependent on China for components: **the exact capacity gap a new fab or assembly plant fills directly.**

**The investment case:** government co-funding already committed, a domestic demand base of \$104.9bn/year, and a proven re-export channel — this same chapter is India's fastest-growing export line too.

# Specialty Steel & Metals

HS72–73 · The rare chapter matched on both the import-substitution and export-growth sides of the same ledger.

PLI COMMITTED (1.0/1.1 + 1.2)

## \$6.9bn

period-matched conversion — one of the largest single PLI levers

PRODUCTION TARGET, FY26-27

## 42 Mt

explicitly sized to cut import dependency

EXPORT VALUE, BOTH CHAPTERS

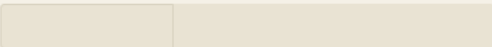
## \$20.7bn

HS72 + HS73 combined, FY2025-26

Round 1.2 alone: 85 projects, 55 companies, \$1.40 billion, 8.7 million tonnes of new capacity, MoUs signed February 2026. **Genuine white space remains** for capacity beyond what's already been awarded — India still imports \$15.8bn of iron & steel a year.

# Auto, EV & Battery Storage

HS87 · A budget that nearly tripled in one year, and an export base already reaching five continents.

|                             |                                                                                    |          |
|-----------------------------|------------------------------------------------------------------------------------|----------|
| PLI Auto, FY26-27 budget    |  | \$701.4M |
| FY25-26 budget (prior year) |  | \$247.0M |
| Vehicle export growth, 8yr  |  | +43.5%   |

## ESTABLISHED EXPORT LANES

USA, Mexico, South Africa, Saudi Arabia, UAE — already India's top-5 vehicle export destinations. The complementary **ACC Battery Storage PLI** (\$2.25 billion, 50 GWh target, 40 GWh already awarded) feeds the same EV value chain.

**The investment case:** the fastest-scaling PLI budget in this deck, a market already exporting to 5 continents, and battery-storage capacity being built out in parallel.

# Pharmaceuticals & Bulk Drug APIs

HS29/30 · India already leads the world in generic medicines. The gap is upstream — active pharmaceutical ingredients.

## INDIA PHARMA + API EXPORTS

**\$35.8bn**

vs. ~\$1.3 trillion in global demand (NITI Aayog, 2025) — vast headroom

## PLI BULK DRUGS

**\$840.1M**

48 projects selected, 34 already commissioned

## IMPORTS AVOIDED SO FAR

**\$179.5M**

directly attributable to the scheme's early cohort

India remains roughly 70% dependent on China for API raw materials — the precise dependency this scheme targets. Telangana, Gujarat and Maharashtra are the established manufacturing clusters, with global-standard regulatory infrastructure already in place.

# White Goods Components

AC compressors, copper tubes, aluminium foils (HS84) · A fully-subscribed scheme with a long committed production runway still to fill.

## COMPANIES SELECTED

# 85 / 85

all four selection rounds complete — a mature, de-risked scheme

## COMMITTED INVESTMENT

# \$1.39bn

4-6% incentive on incremental sales through FY2028-29

## CUMULATIVE PRODUCTION TARGET

# \$23.58bn

the demand runway component suppliers are building against

**The investment case:** this scheme is closed to new PLI applicants, but that's the point — it signals a mature, proven supply chain a component manufacturer or Tier-2 supplier can plug into today, backed by a production target that runs to 2029.

# Medical Devices

HS90 (subset) · A partial PLI window with three distinct, already-active FDI relationships to build on.

## PLI MEDICAL DEVICES OUTLAY

**Rs 3,420cr**

a partial scheme — real headroom remains beyond current coverage

## SIEMENS HEALTHINEERS (GERMANY)

**€160M**

the sector's reference investment, in production under the PLI umbrella

## MEDTRONIC + GE-WIPRO JV (USA)

**\$350M +  
Rs 8,000cr**

the two largest live US commitments in the sector

Japan adds a fourth track: Olympus's R&D center plus a new government-to-government research mechanism (the AMED-ICMR Memorandum of Cooperation, Aug 2025) — the same kind of treaty-level channel already working for Electronics and Auto/EV/Battery above.

# Ten sectors, ten sourced country strategies – including one honest "no"

|                                            |                                                                                                                                                          |
|--------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>01 Electronics &amp; Semiconductors</b> | Taiwan (process tech) · Japan (IJICP) · USA (iCET/TRUST equipment)                                                                                       |
| <b>02 Specialty Steel &amp; Metals</b>     | Japan (JFE tech + Nashik) · Korea (POSCO-JSW \$7.73bn)                                                                                                   |
| <b>03 Auto, EV &amp; Battery</b>           | Korea (LGES-JSW, Agratas equipment) · Japan (Toyota \$1.9bn, Suzuki)                                                                                     |
| <b>04 Pharma &amp; Bulk Drug APIs</b>      | USA (BIOSECURE-driven CDMO shift, Eli Lilly \$1bn)                                                                                                       |
| <b>05 White Goods Components</b>           | Japan (Daikin, Nidec) · Korea (Samsung, LG) · Denmark (Danfoss)                                                                                          |
| <b>06 Medical Devices</b>                  | Germany (Siemens Healthineers) · Japan (Olympus) · USA (Medtronic)                                                                                       |
| <b>07 Inorganic Chemicals</b>              | Japan (Sumitomo, Mitsubishi Gas Chemical) · Germany (Lanxess, directional)                                                                               |
| <b>08 Plastics</b>                         | Saudi Arabia & UAE (\$44bn RRPCL, MOU-stage) · Qatar · Japan                                                                                             |
| <b>09 Aircraft &amp; Spacecraft</b>        | France (Tata-Airbus C295, operating) · USA (Boeing, Lockheed) · Israel (IAI)                                                                             |
| <b>10 Textiles &amp; Apparel (cotton)</b>  | <b>No FDI-source country found.</b> Real capital is Indian-owned, reshoring from Bangladesh. Fix is broadening PLI Textiles' scope, not a country pitch. |

# Reading the quota, not just the tariff

India is starting to pair tariffs with volume quotas — a distinct instrument with its own game theory.

## THE MODEL

Passacantando & Raciti (2025) frame a tariff-rate quota as a **Generalized Nash Equilibrium**: several exporting firms compete for access to several importing countries, each setting a two-tier duty — low below a volume threshold, high above it. Because the quota is shared, one firm's access depends on how much the others take.

Journal of Dynamics and Games, Apr 2025 · DOI 10.3934/jdg.2025011

## INDIA'S LIVE CASE — AC COMPRESSOR QCO, MAY 2026

Import volumes capped at 30-40% of FY2025 levels. Stated government intent: China's GMCC (the dominant global maker) **"cannot sell into India unless they build factories in India."**

A quota is a harder wall than a tariff — a firm can't pay its way past it. The model predicts exactly this: build in India, or cede share to whoever can operate inside the cap.

**Worth knowing before targeting Japan/Korea for Specialty Steel (sector 02):** India's own steel safeguard duty (through 2028) names both countries. Read through this model, that's not a contradiction — the duty is the mechanism pushing their capacity into Indian joint ventures rather than continued arm's-length exports.

## CONFIRMED ACTIONS ONLY — NO SPECULATION

# The official tariff timeline, 2025 to present

|                      |                                                                                                                                               |
|----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| <b>20 Feb 2026</b>   | US Supreme Court strikes down the entire IEEPA reciprocal-tariff regime — every India-specific rate issued under it is voided.                |
| <b>20 Feb 2026 →</b> | Replaced with a flat global <b>10% Section 122</b> surcharge — not India-specific, capped by statute.                                         |
| <b>24 Jul 2026</b>   | The flat 10% surcharge is due to expire by statutory limit — the single most consequential near-term date in the current picture.             |
| <b>Pending</b>       | A proposed <b>12.5% Section 301</b> tariff naming India as the intended replacement — comment period closed 6 Jul 2026, not yet in force.     |
| <b>In force</b>      | Section 232: 50% steel/aluminum (global) · 25% semiconductors (AI chips only) · 100% patented pharma — <b>generics/biosimilars excluded</b> . |
| <b>1 Jan 2026</b>    | EU CBAM definitive period begins on schedule — directly exposes ~\$20.7bn of India's steel exports (see risk slide).                          |

**Because the whole 2025 reciprocal-tariff schedule was voided**, the "India lost out to Vietnam/Bangladesh on tariffs" story is currently moot — all three now face the same flat 10%. And per NITI Aayog's own Trade Watch: China+1 diversification has had "limited success so far" for India — Vietnam, Thailand, Cambodia and Malaysia have captured more of the shift.

# States are competing hard on top of central incentives

Every sector in this deck gets a state-level top-up — capital subsidy, SGST reimbursement, land and power concessions — layered on the central PLI figures already shown.

|                                            |                                                                                                                                                                                                                     |
|--------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>01 Electronics &amp; Semiconductors</b> | <b>Gujarat</b> tops up central ISM subsidy by 40% (~70% total capex support); <b>Uttar Pradesh</b> adds 50% on top (Tarq Semiconductors: Rs 7,037cr capital subsidy awarded)                                        |
| <b>02 Specialty Steel &amp; Metals</b>     | <b>Odisha</b> : 20-30% capital subsidy + a mining-lease linkage reserving 50-80% of iron ore for state-based steelmakers; <b>Chhattisgarh</b> : rebate ceiling raised to 150% of investment for sponge-iron/steel   |
| <b>03 Auto, EV &amp; Battery</b>           | <b>Tamil Nadu</b> : 100% SGST reimbursement for 15 years; <b>Uttar Pradesh</b> : 30% capital subsidy (capped Rs 1,000cr) for the first 2 ultra-mega battery/EV projects                                             |
| <b>04 Pharma &amp; Bulk Drug APIs</b>      | <b>Telangana</b> 's new Next-Gen Life Sciences Policy 2026-30 targets \$25bn investment; <b>Gujarat</b> 's Biotechnology Policy adds up to 25% capital subsidy on top of the general 12%                            |
| <b>05 White Goods Components</b>           | <b>Andhra Pradesh</b> 's Electronics Policy 4.0: 20-30% capital subsidy by project scale; <b>Tamil Nadu</b> : 15-30% by district, with "Consumer Electronics and Appliances" explicitly named a priority sub-sector |

## WHERE IT'S ALREADY LANDING

# Real state hubs, with the evidence behind each one

Not just incentive policy on paper — named capital already committed, sector by sector.

|                                                   |                                                                                                                                                                                                            |
|---------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Electronics — Gujarat &amp; Assam</b>          | Micron's \$2.75B ATMP at Sanand (commercial production Feb 2026); Tata Electronics-PSMC's Rs 91,000cr fab at Dholera; Tata's Rs 27,000cr ATMP at Jagiroad, Assam                                           |
| <b>Steel — Odisha &amp; Karnataka</b>             | Odisha's Kalinganagar complex (Tata Steel expanding 3→8 Mt, Rs 47,599cr) plus 10 more mega plants worth over Rs 4 lakh crore; Karnataka's JSW Vijayanagar (12 MTPA, India's largest single-location plant) |
| <b>Auto/EV/Battery — Tamil Nadu &amp; Gujarat</b> | Tamil Nadu's Chennai corridor makes 45% of India's automobiles; Gujarat's Tata Agratas 20 GWh battery gigafactory and Reliance's Jamnagar 40 GWh battery gigafactory (both targeting 2026)                 |
| <b>Pharma APIs — Telangana &amp; Gujarat</b>      | Telangana's Genome Valley: 200+ companies incl. Novartis, GSK, Dr. Reddy's; Gujarat: ~28-33% of India's drug manufacturing by volume, 130 USFDA-certified facilities                                       |
| <b>White Goods — Andhra Pradesh</b>               | Sri City already makes roughly half of India's ACs; LG's third India plant (~\$600M, targeting end-2026) and the Daikin-Rechi compressor JV are both sited there                                           |

Two things worth knowing before you pick a state: West Bengal legislatively revoked every industrial incentive it had in 2025. Hyderabad's flagship Pharma City project currently has its land acquisition under a Telangana High Court stay. Full sourcing: [state & central incentives bulletin](#).

# Three sectors, no PLI yet — no incumbent to out-compete

Real, growing, unmet demand — with no Production Linked Incentive scheme in place. The first credible entrant sets the terms.

## Inorganic Chemicals

HS28

**\$14.2bn**

import value, growing +86.0% over 8 years

## Plastics

HS39

**\$22.2bn**

import value, growing +45.8% over 8 years

## Aircraft & Spacecraft

HS88

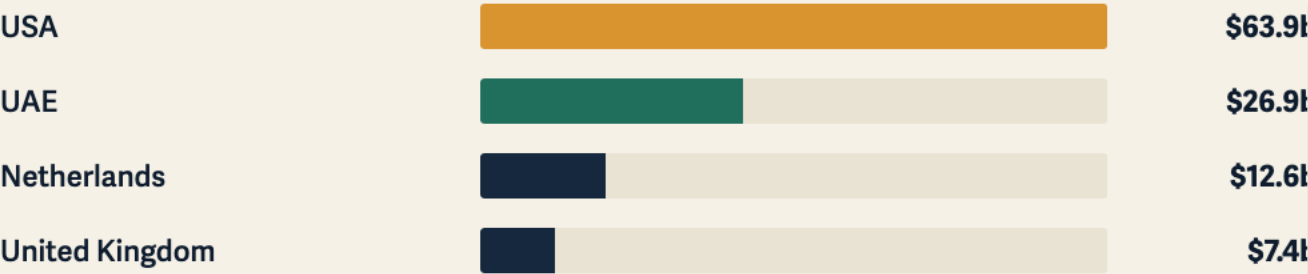
**\$13.8bn**

import value, growing +80.9% over 8 years

These are the cleanest import-substitution candidates this analysis found: real value, real growth, and — unlike the five sectors above — no existing scheme or funded competitor to negotiate around.

# Manufacture here, and the export channel already exists

India's fastest-growing export chapters already reach the world's largest buyers — a new plant inherits the channel, not just the domestic market.



**COMBINED EXPORT EXPOSURE BY DESTINATION, TOP 12 GROWTH CHAPTERS**

The USA alone is the top-8 destination in 11 of India's 12 fastest-growing export chapters. That's an established, deep buyer relationship a new manufacturer can sell into from day one — not a market that needs to be built from scratch.

# Two risks worth pricing in, honestly

An investment case is only credible if it names its own risks. Both below are real, quantified, and manageable — not reasons to pass, reasons to structure around.

## CARBON BORDER RISK (CBAM)

**\$20.7bn**

of India's steel exports (HS72/73) sit inside the EU Carbon Border Adjustment Mechanism's initial scope. Specialty Steel PLI scales production; it doesn't by itself address the carbon-cost exposure. **Structure for it:** pair new capacity with lower-emissions production routes from day one.

## CURRENCY VOLATILITY

**+11.9%**

rupee depreciation in the 12 months to July 2026 — faster than the prior decade's ~3.3%/year average. Favorable for dollar-cost setup and export margins now; underwrite financing assumptions against continued volatility, not the current spot rate alone.

Full sourcing and methodology: [herrickshaw.github.io/india-trade-sector-policy-recommendations](https://herrickshaw.github.io/india-trade-sector-policy-recommendations)

## THE SCORECARD

# Where PLI became real capital, sector by sector

Real DPIIT/RBI FDI-equity inflow tested against every scheme's launch date — not the government's self-reported "committed investment" figures. 2 green, 5 amber, 3 red.

|                                                                                |                                                                                                  |                                                                                               |                                                                                          |                                                                                         |
|--------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| <b>Electronics &amp; Semis</b><br>FDI +352%, moves opposite the national cycle | <b>Medical Devices</b><br>FDI ~4x baseline, cleanest positive result                             | <b>Specialty Steel</b><br>Real capacity, but domestic capital — FDI channel hasn't converted  | <b>Auto, EV &amp; Battery</b><br>Gigafactories real, but Tata/Reliance capital — not FDI | <b>Pharma &amp; APIs</b><br>Rose, but timing points to COVID reshoring, not PLI         |
| <b>White Goods</b><br>Full subscription only Jan 2026 — too early to call      | <b>Aircraft &amp; Spacecraft</b><br>No scheme, but the mildest FDI decline of any control sector | <b>Inorganic Chemicals</b><br>No scheme, FDI -46.5% — the clearest "needs a first mover" case | <b>Plastics</b><br>FDI -58.8%, worst trend in this scorecard; \$44bn deal stuck at MOU   | <b>Textiles &amp; Apparel</b><br>PLI/product mismatch, no FDI-source country identified |

Methodology note: state-wise FDI data is attributed by a company's **registered office**, not its factory location — proven directly via a Jio Platforms/Gujarat case that predates the Semiconductor Policy by two years. Full sourcing: [master sector scorecard](#).

THE FINANCING QUESTION

# Why some states self-fund, and others need FDI

India's domestic capital isn't one price — benchmarked against 9 target countries' central bank rates, all below India's own.

INDIA'S TWO-TIER COST OF CAPITAL

|                              |                        |           |
|------------------------------|------------------------|-----------|
| RBI repo rate                | <div><div></div></div> | 5.25%     |
| AAA bonds<br>(Tata/Reliance) | <div><div></div></div> | 7.4-8.3%  |
| Ordinary borrower (EBLR)     | <div><div></div></div> | 9.5-10.5% |

67.6% of the banking system's floating-rate book is now EBLR-priced — but AAA conglomerates bypass banks entirely, borrowing 100-250+ bps cheaper via bonds.

|                                                      |           |
|------------------------------------------------------|-----------|
| EVERY TARGET COUNTRY'S RATE SITS BELOW INDIA'S 5.25% |           |
| Japan                                                | 1.00%     |
| Taiwan                                               | 2.00%     |
| Eurozone (Germany)                                   | 2.25%     |
| South Korea                                          | 2.75%     |
| USA                                                  | 3.5-3.75% |
| Saudi Arabia                                         | 4.25%     |

DOMESTIC CAPITAL STATES

Assam, Odisha, Gujarat (battery), Karnataka — strategic capacity + AAA-tier bond access, no foreign IP dependency.

FDI STATES

Andhra Pradesh, Maharashtra, Tamil Nadu (compressors) — foreign-owned technology, no domestic incumbent to license from.

Honest caveat: cross-checked against ICRA's own sector-risk notes, this holds unevenly — strong for Defence, explicitly absent for Steel. Full analysis: [domestic vs. FDI capital case](#).

## Re-run on FY2025-26 data: the verdicts moved

This analysis refreshes when the data does. FY2025-26 FDI closed at \$58.8bn (+18%) — and against that rising cycle, three sector verdicts changed. New mix: **1 green · 6 amber · 3 red**.

### Electronics & Semis

**−43.5%**

green → amber. FDI nearly halved while the national cycle rose 18%. Landed capacity is real — but increasingly domestic-funded.

### Medical Devices

**−40.4%**

green → amber. The concentration risk the original verdict itself flagged — a few MNC deals carrying the rise — materialized.

### Pharma & Bulk Drug APIs

**+114%**

amber → green. Doubled to the series' highest level — landing after ₹5,433cr of disbursement, so the "it was just COVID reshoring" objection is now materially weaker.

### THE EXPORT HALF IS WORKING

Electronics exports **+324% (5yr) to \$54bn**; Vehicles +43.5%; steel articles +42.8%. The only declining export chapters are the cotton-apparel ones PLI structurally misses.

### THE IMPORT HALF ISN'T, YET

Electronics imports also doubled — **+101.5% to \$104.9bn** — the input side of the export boom. Component localization (ECMS) is where the deficit actually narrows.

Interactive version with slicers, growth-vs-volume analysis, and six ranked action items: [FY2025-26 verdict re-run dashboard](#).

THE REPORT CARD

# Does the incentive actually get paid? Grades, A to F

₹28,748cr disbursed across all 14 PLI sectors as of 31 Dec 2025 — **roughly 15% of the outlay**, verified against Parliament-answer PRIDs. For an investor, the grade below is the probability the scheme's money actually arrives.

|                                                                                                                                                                              |                                                                                                                                                                                     |                                                                                                              |                                                                                                                                                       |                                                                                                                            |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| <div>A</div> <div>Pharma (36% of outlay paid, sales ₹3.19 lakh cr) · Electronics (₹15,554cr paid, every target exceeded) · Bulk Drugs (Penicillin-G back after 30 yrs)</div> | <div>B</div> <div>Medical Devices (19 greenfield plants live) · Telecom (exports ₹21,033cr) · Food Processing (₹1,084cr paid) · White Goods (production commenced, 4.5% paid)</div> | <div>C</div> <div>Solar PV (₹52,942cr committed, payout data thin) · Drones (tiny scheme, did its job)</div> | <div>D</div> <div>Auto (9.2% paid, accelerating) · Steel (0.8% paid; 14 of 58 projects withdrew) · Textiles (0.5% paid, to 2 unnamed companies)</div> | <div>F</div> <div>ACC Battery — zero disbursed; 1 of 40 GWh in "pilot production" since Mar 2024, in PIB's own words</div> |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|

**Who is actually producing (per PIB, release IDs cited):** Micron, Kaynes and CG Semi shipping chips from Sanand · Foxconn and Dixon the first LSEM incentive recipients · 27 bulk-drug plants across 15+ named companies · Siemens Healthcare, Wipro GE and Philips making CT/MRI/coils in India. And a transparency tell: **the underperforming schemes are also the anonymous ones** — PIB names zero companies for Textiles, Steel and Food Processing.

Full graded table with evidence and PRIDs: [PLI report card](#) · IEM approval record: B+ (implementation ratio hit 109.9% in 2025).

## NEXT STEPS

# Ten sectors, one window — while the incentive is still open

Electronics, Specialty Steel, Auto/EV/Battery, Pharma APIs, White Goods and Medical Devices carry funded government backing today. Inorganic Chemicals, Plastics and Aerospace remain open ground floor. Every sector above names a specific country to court — except Textiles, an honest "not yet."

## FACILITATION

### Invest India

National Investment Promotion & Facilitation Agency

## POLICY

### Ministry of Commerce & Industry

Department for Promotion of Industry and Internal Trade

## FULL ANALYSIS

### [github.com/herrrickshaw](https://github.com/herrrickshaw)

india-trade-sector-policy-recommendations